



REE Corporation (HOSE: REE)

Industry: Utilities/ Independent power generation and renewable energy generation



Market Capitalization

31,830.54
BILLION VND

Total Revenue

10,012
BILLION VND

P/E

12.15

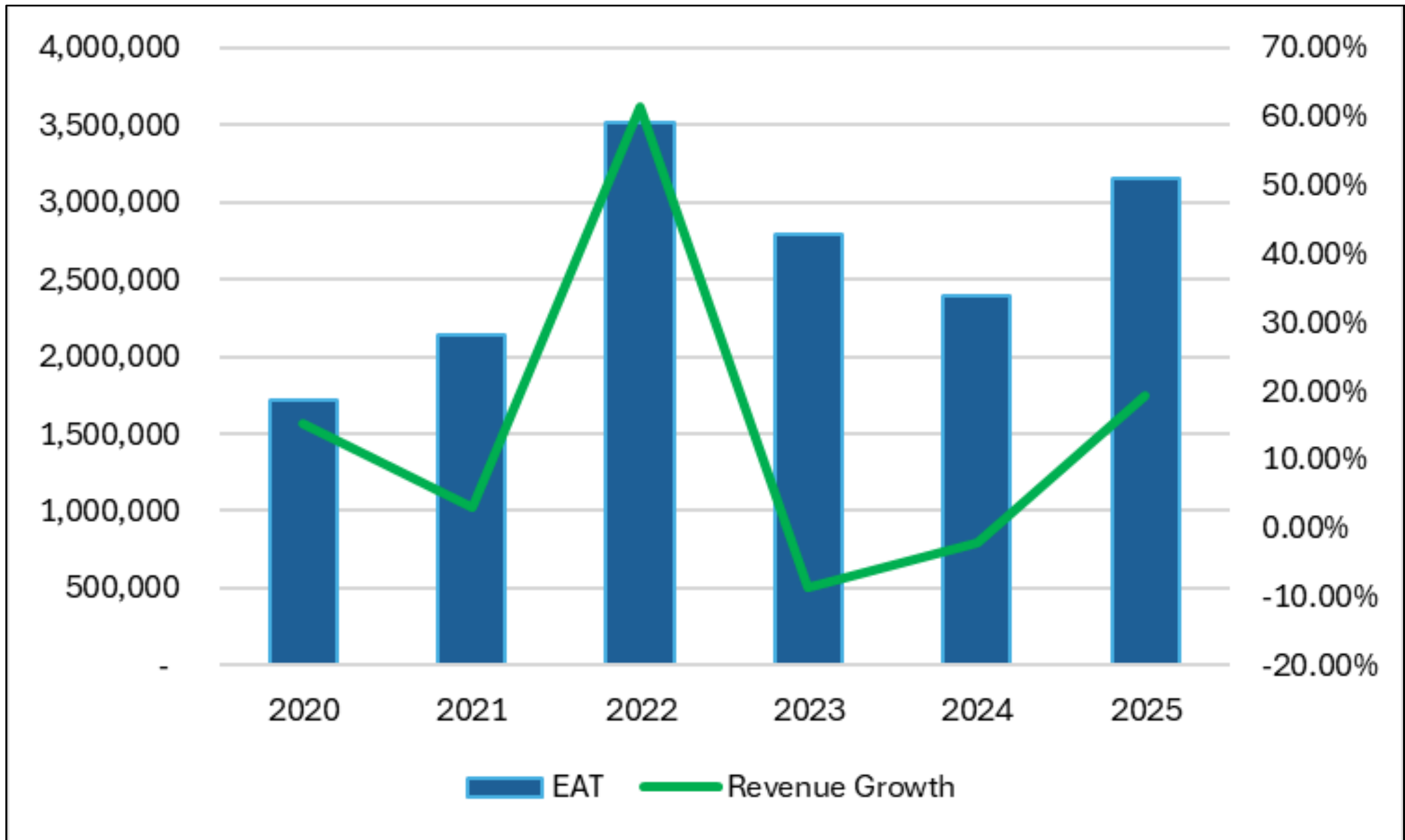
EPS

5,019

Market position

Refrigeration Electrical Engineering Corporation (REE) is a diversified conglomerate established in 1977, originally operating in the mechanical and electrical engineering (M&E) sector, with more than 40 years of industry experience. The company has been recognized by Forbes as one of the Top 50 Best Listed Companies and is also ranked among the Top 500 Largest Enterprises in Vietnam. Currently, REE operates across multiple business segments, including energy, water and environmental services, real estate, and M&E services.

Financial performance



The company's revenue growth has been quite volatile over the years; notably, 2023 recorded a sharp increase of 61.3%, indicating that the growth momentum is not yet fully sustainable and remains cyclical.

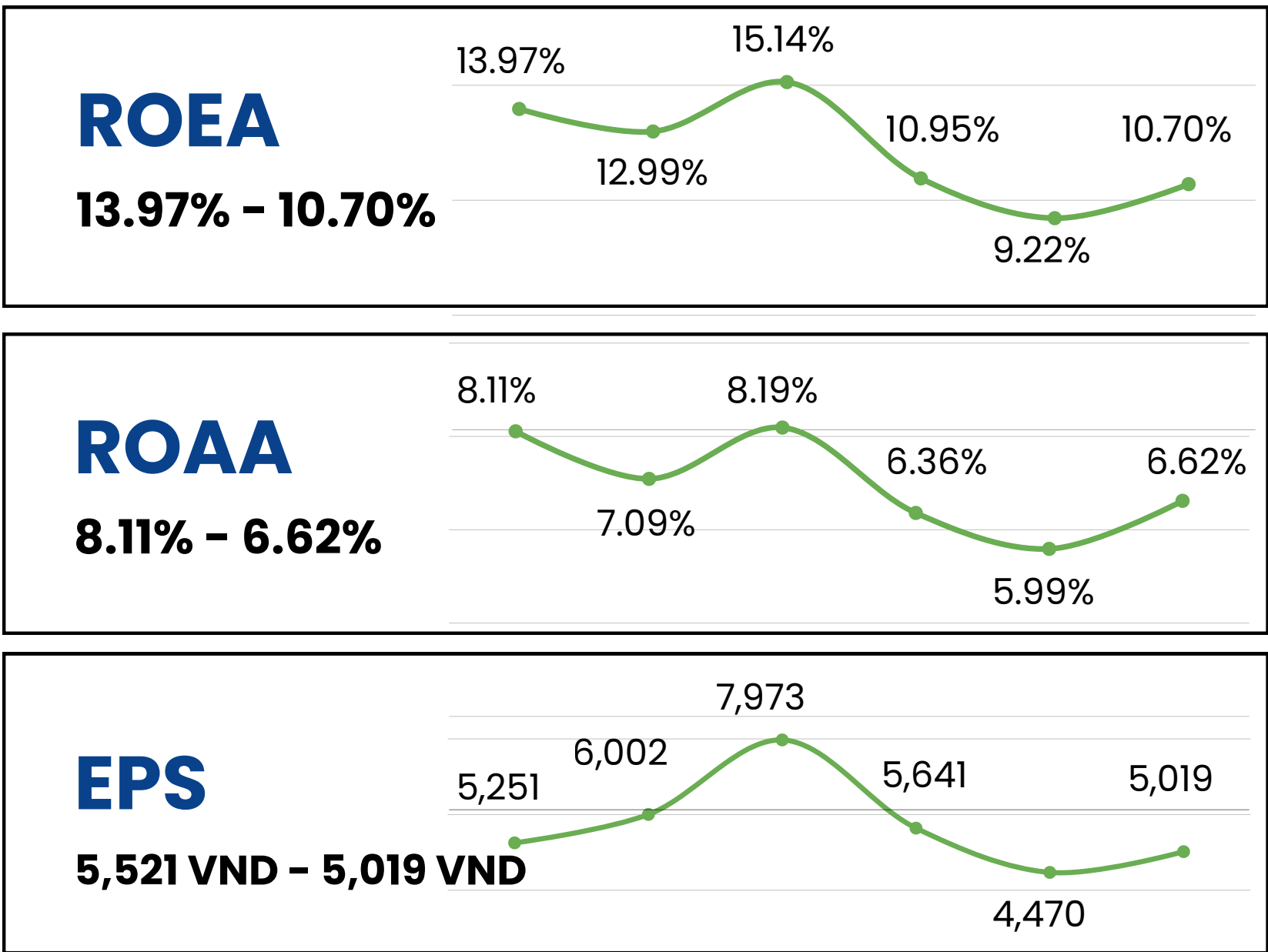
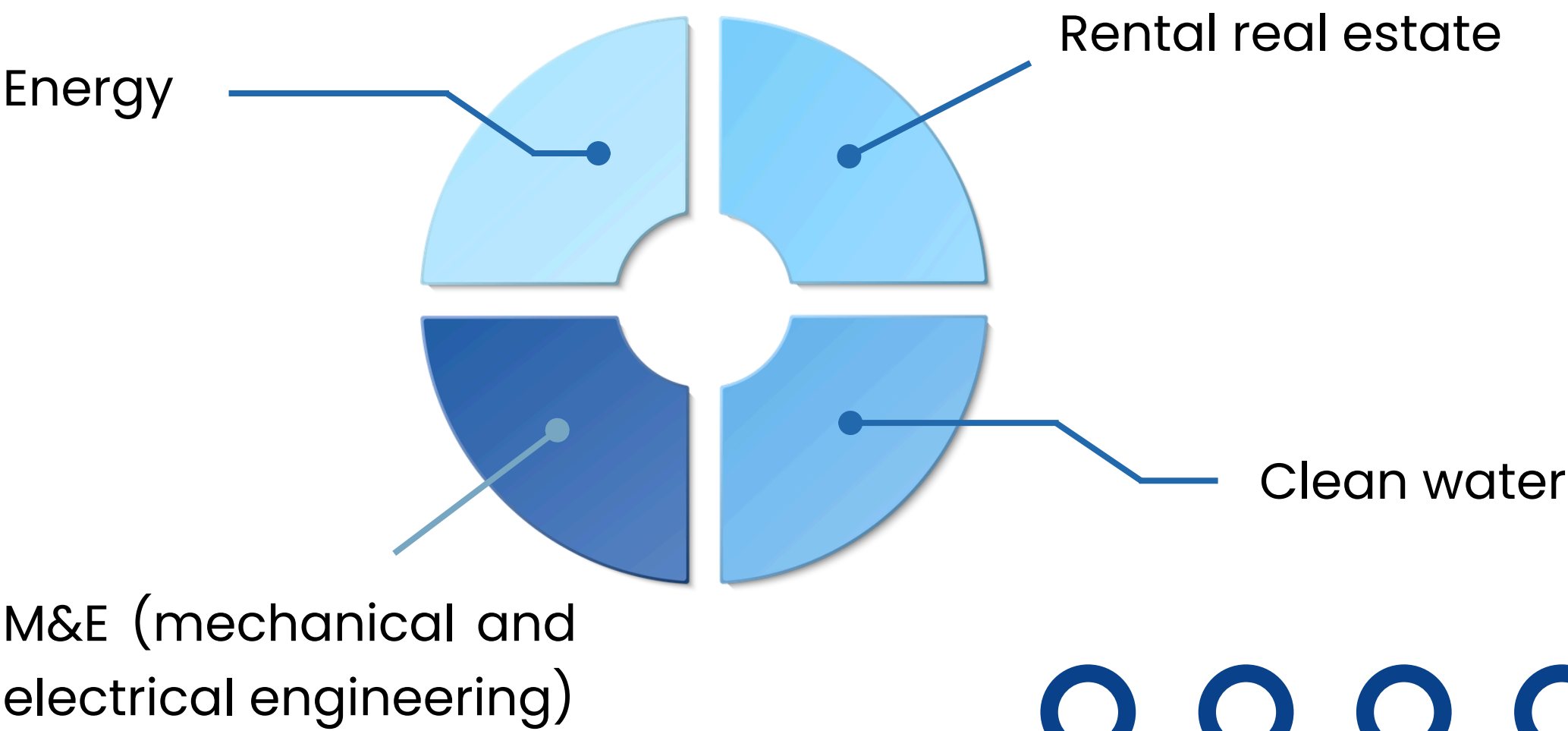
During the 2020–2025 period, net profit after tax initially showed positive growth, rising from 1,713,502 to 3,515,377, before declining and gradually entering a recovery phase. Meanwhile, return on equity (ROE), although remaining above 10%, has shown a significant downward trend, reflecting weakening profitability on shareholder capital. Similarly, return on assets (ROA) has not demonstrated clear improvement, suggesting limited efficiency in asset utilization.

Earnings per share (EPS) has fluctuated in line with net profit and remained unstable throughout the period, which reduces the stock's attractiveness to investors.

RISK TOLERANCE

This stock is considered relatively stable, supported by the energy segment continuing to serve as a core pillar, with wind power capacity expansion driving long-term growth. Additionally, REE maintains its position as a leading M&E contractor in the infrastructure sector, with a substantial project backlog providing a foundation for short-term revenue growth. However, the stock still faces several risks, including intense competition and raw material price volatility in the M&E segment. Moreover, revenue from real estate projects tends to decline due to a market slowdown influenced by rising interest rates.

Business model



Medium and long-term prospectus

Expansion of infrastructure and energy portfolio

By continuing to increase investments in power projects (particularly hydropower, wind, and solar) and water infrastructure, REE ensures a stable revenue stream that is less sensitive to economic cycles.

Stable growth in electricity and water demand

As the economy recovers and develops, demand for electricity and clean water continues to rise, benefiting REE's affiliated companies and invested projects, thereby supporting revenue and profit growth.

Long-term, sustainable investment strategy

REE focuses on essential sectors with stable cash flows and long-term profitability, while optimizing its investment portfolio and implementing effective management, helping the company maintain its competitive advantage.

TIME HORIZON

- REE is suitable for medium to long-term investors (3–5 years):
- Long-cycle sectors (energy, water, real estate)
 - Performance depends on macroeconomic growth, stable utility demand, and real estate recovery
 - Requires time for returns to materialize
 - Strong diversification across business segments
 - Stable cash flows from energy and infrastructure
 - Clear long-term development strategy